

ANNANDALE CORPORATION

NOTES TO FINANCIAL STATEMENTS

4. EQUIPMENT AND MATERIALS HELD FOR RESALE

On April 10, 1981, management elected to suspend production of the Micropin game. At the time, the purpose of the action was to allow the Company the opportunity to design certain modifications to the game which, in the opinion of management, would increase its marketability. The Company subsequently decided to permanently terminate production of the Micropin game and sell all completed games, materials and rights to manufacture and market the game.

At March 31, 1982, the Micropin game, equipment and materials were carried at cost and management was attempting to locate a qualified buyer and consummate the sale of the assets and rights referred to above. The Company was unable to sell the assets because the market declined significantly subsequent to March 31, 1982. Consequently, in December 1982, the equipment and material were written off as a charge to operations.

5. ACCOUNTS PAYABLE - OFFICER

Under an agreement dated March 22, 1982, the Company was to receive 150,000 shares of common stock of Financial News Network, Inc. (a development stage company), as compensation for consulting services (see note 2). As a result of subsequent negotiations, it was agreed that the Company will receive 200,000 shares of common stock of Financial News Network, Inc., rather than 150,000 shares. The shares to be received were not registered under the Securities Act of 1933.

The Board of Directors granted a bonus of 25,000 shares of the above-mentioned additional 50,000 shares of stock to an officer of the Company. The bonus is payable when the Company receives the aforementioned 200,000 shares and complies with such legal requirements as may be necessary to effect their transfer. Accordingly, in 1982 a bonus of \$50,000 was accrued, based on the estimated fair market value of the stock at the date the bonus was granted.

In January 1984, the Company received and sold the aforementioned shares including the 25,000 shares granted as a bonus to the officer on his behalf. The amount due to officer at March 31, 1984 represents the proceeds of the sale of his 25,000 shares.

6. SHAREHOLDERS' EQUITY

Promotional shares and treasury stock - Two officers/shareholders relinquished a total of 36,000 shares of common stock as a condition of the stock issued in 1976. These shares are currently held as treasury stock. In addition, the remaining 464,000 shares held by these same shareholders are subject to other restrictions imposed by the California Department of Corporations. Such restrictions include a waiver of the right to share in dividends and the right to participate in any distribution of assets in the event of liquidation. The California Corporation Commissioner may remove these restrictions when the Company has demonstrated a satisfactory earnings record.

A690020

ORIGINAL
N 31-731SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

Form 10-K

RECD S.E.C.
JUL 02 1984Annual Report Pursuant to Section 13 or 15(d) of
The Securities Exchange Act of 1934

1372

For the fiscal year ended March 31, 1984

Commission file number 0-9864

32

ANNANDALE CORPORATION

(Exact name of registrant as specified in its charter)

California

95-2882527

(State or other jurisdiction of
incorporation of organization)(I.R.S. Employer
Identification No.)

168 Vista Avenue, Pasadena, California

91107

(Address of principal executive offices)

(ZIP Code)

Registrant's telephone number,
including area code

(818) 449-6431

Securities registered pursuant to Section 12(b) of the Act: NONE

Securities registered pursuant to Section 12(g) of the Act:

Common stock, no par value
(Title of class)

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days.

Yes ☒ XNo ☐

Documents Incorporated by Reference

NONE

State the aggregate market value of the voting stock held by nonaffiliates of the registrant - \$4,617,140, as of June 19, 1984.

Indicate the number of shares outstanding of each of the registrant's classes of common stock, as of June 19, 1984.

3,357,920

PART I

Item 1. Business.

Annandale Corporation, formerly Micropin Corporation (hereinafter referred to as "Annandale" or "Company") was incorporated in 1974 under the name "EAD Incorporated". From its inception through 1980 the Company was engaged in the development of a pinball-like amusement device.

Actual production of the device commenced on a limited basis prior to March 31, 1980. The devices were placed in various restaurant cocktail lounges and bars in the Los Angeles area on a revenue-split basis. On April 10, 1981, management elected to suspend production of the Micropin game. It was subsequently decided to permanently terminate production of the Micropin game. During 1981 the Company began purchasing and operating video amusement games produced by other manufacturers.

During the year ended March 31, 1982 the Company acquired all of the outstanding stock of Mobile Engineering ("Elcon"), a manufacturer of video amusement games in Michigan which, based on data supplied to the Company, was operating profitably. Subsequently, Elcon was accused by several major manufacturers of engaging in copyright infringements and the sale of unauthorized games. Because the Company had no prior knowledge of the claims against Elcon and because this material matter was not previously disclosed to the Company and was in violation of the merger agreement, the Company rescinded the acquisition on August 18, 1982.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting services.

On March 28, 1983, a special meeting of shareholders was held to change the principal business of the Company to business and financial consulting services and to change the corporate name to Annandale Corporation. Both of these items were passed and have been put into effect. The services that the employees of the Company provide include the preparation of business and financial plans and the negotiation and finding of financing through the introduction of qualified financial sources with equity securities as the primary compensation for the Company.

The Company's business, that of providing consulting services, is highly competitive and there are large numbers of consulting companies in existence.

Item 2. Properties.

The Company leases its principal office in Pasadena, California. The lease expires in 1988. In the opinion of management, the property is in good condition and is adequate for the Company's current and reasonably foreseeable future needs. The Company believes that its equipment is adequate for its operations and that all of such equipment is in good operating order and repair.

Item 3. Legal Proceedings

In August 1982, the Company filed a Complaint for Rescission, Restitution and Damages in the U. S. District Court of the Central District of California naming the owner of Elcon as defendant(see note 9). In November 1982, the owner of Elcon together with Mobile Amusement Engineering, Inc. and Elcon Industries, Inc. filed an Answer to Complaint and Counterclaim and Demand for jury trial, naming the Company and an officer/director as defendants.

On September 20, 1982, Mobile Amusement Engineering Inc. dba Elcon Industries, Inc. ("Elcon") and its owner filed an action against the Company in the U.S. District Court of the Eastern District of Michigan for breach of contract and declaratory release. Plaintiff seeks specific performance of the acquisition agreement. This action was stayed by order of the U.S. District Court, November 9, 1982.

As explained in note 9, Elcon is a defendant in three lawsuits. The Company has also been named in one of these actions.

The parties to the above actions have agreed in principle to a settlement which is in the process of being finalized. Management has recorded an estimated liability of \$250,000 to provide for the proposed settlement in the actions discussed above. The liability was recorded as a charge to operations for the year ended March 31, 1984. In the opinion of management, the liability, if any, in excess of the amount provided, will not materially affect the operations or financial position of the Company.

Item 4. Submission of Matters To A Vote Of Security Holders

Not applicable

PART II

Item 5. Market for the Registrant's Common Stock and Related Stockholder Matters.

(a) Price Range of Common Stock

The following table shows the range of closing bid prices for the Common Stock in the over-the-counter market for the calendar quarters indicated, as reported by NASDAQ. The quotations represent prices in the over-the-counter market between dealers in securities, do not include retail markup, markdown or commission and do not necessarily represent actual transactions.

Item 5. Market for the Registrant's Common Stock and Related Stockholder Matters - Continued

	Bid Prices	
	High	Low
Second quarter 1982	1 7/8	1 3/8
Third quarter 1982	1 3/8	3/4
Fourth quarter 1982	1 1/2	5/8
First quarter 1983	2 3/8	1
Second quarter 1983	4 3/4	3 1/4
Third quarter 1983	2 7/8	2 1/8
Fourth quarter 1983	2 1/8	1 3/8
First quarter 1984	1 3/4	1 5/8

(b) Approximate Number of Holders of Common Stock

The Approximate number of holders of record of Annandale's Common Stock as of June 15, 1984 is 900. (1)

(1) Included in the number of stockholders of record are shares held in the "nominee" or "street" name.

(c) Dividends

The Common Stock, no par value, is the only class of stock authorized by the Company, except as noted below with respect to shares originally issued to two officers. Holders of Common Stock are entitled to receive dividends when and as declared by the Board of Directors from the funds legally available for that purpose. The Company has not paid any dividends and currently has no plans to pay dividends in the future.

The aforementioned shares, originally issued to two officers, are not entitled to participate in dividends or other distributions to shareholders, if any until certain restrictions imposed by the California Commissioner of Corporations are removed. Such restrictions and conditions imposed by the Commissioner of Corporations would ordinarily be removed when justified by the operating results of the Company.

Item 6. Selected Financial Data

	Years Ended March 31				
	1984	1983	1982	1981	1980
Operating revenues	\$ 113,561	\$ 288,119	\$ 657,190	\$ 42,217	\$ -
Interest and other income	635,400	335,566	355,357	145,681	15,292
Operating expenses	672,498	1,809,296	1,040,228	973,101	726,046
Income (loss) from continuing operations	54,663	(1,185,611)	(27,681)	(785,403)	(710,954)
Income (loss) per share from continuing operations	.02	(.33)	(.01)	(.34)	(.42)
Income (loss) from discontinued operations	-	(237,217)	85,941	-	-
Total assets	2,730,277	2,420,583	4,944,367	3,717,259	319,777

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations.

Liquidity and Capital Resources

The acquisition and subsequent rescission of Mobile Amusement Engineering, Inc. doing business as Elcon Industries, Inc. ("Elcon"), (see note 9 in the accompanying financial statements) supplied a profit of \$85,941 for fiscal year ended March 31, 1982, but resulted in an ultimate loss on disposal of \$132,264 or \$.04 per share, which includes all anticipated losses subsequent to June 30, 1982. This rescission also resulted in decreases in accounts receivable and inventory of approximately \$950,000 and a decrease in payables of \$540,000 during the year ended March 31, 1983.

As a result of the public offering of Financial News Network, Inc. in July 1982, the 200,000 shares the Company received for consulting services had appreciated greatly. The shares were valued at their estimated fair market value based on a percentage of the offering price of Financial News Network, Inc.'s common stock which was \$3.00 per share.

Of the 200,000 shares that the Company held, 50,000 of those shares were originally offered to Mr. Stewart personally which he accepted but in the name of Annandale Corporation. The Company subsequently authorized the transfer of 25,000 of those shares to Mr. Stewart. During the current year, the Company sold the aforementioned shares and other marketable securities and invested the proceeds in other investments recorded as non-current assets.

The Company currently has a strong balance sheet with no long or short-term debt (other than current obligations), and over \$400,000 in cash and marketable securities. Management anticipates no material decrease in the Company's liquidity position and there have been no material commitments for capital resources not previously reported.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations - Continued

Capital Needs

The Company has no major purchase commitments or other commitments other than for the lease of premises as shown in the financial statements. Management does not presently plan to borrow funds, sell securities or enter into any other arrangements to raise funds.

Results Of Operations

During 1982, the Company shifted its emphasis from the production and operation of the Micropin game to the purchase and operation of electronic video games. The Company, as previously stated, acquired Elcon Industries, Inc., effective January 1, 1982.

Because the Elcon acquisition was rescinded in August, 1982, the 1982 figures have been restated to show the profit relating to Elcon as a \$85,941 income from discontinued operations. The Annandale revenue resulted from amusement game revenues of approximately \$357,000 and consulting fees of \$300,000 resulting in a \$383,000 operating loss from continuing operations before interest income. Interest income (net of interest expense) was approximately \$355,000.

Due to the steadily decreasing video game market, the Board of Directors elected to dispose of the Company's video game interests and concentrate full-time efforts on business and financial consulting during the year ended March 31, 1983. The loss from the disposal of video game assets was approximately \$93,000. As there was little or no current market for the Micropin game machine assets, it was decided in order to give the fairest representation of the Company's financial condition, to write off these assets which resulted in a loss of approximately \$815,000. In addition, the Company recorded as a charge to operating expenses an estimated litigation liability of \$100,000. These charges are the significant factors in the increase in operating expenses and loss from continuing operations during 1983.

On March 28, 1983, the shareholders voted to change the principal business of the corporation to business and financial consulting services. During 1984, revenues increased over 1983 primarily due to the gain on sale of marketable securities which were received for consulting services in a previous year. Operating expenses decreased in 1984 even after including a charge for an estimated litigation liability of \$250,000 as described in note 11 in the accompanying financial statements. Despite the charge for an estimated litigation liability, the Company reported a profit for the year of approximately \$69,000. The current inflation rate has had no significant impact on the Company's operations.

Item 8. Financial Statements

ANNANDALE CORPORATION

BALANCE SHEET

MARCH 31, 1984 AND 1983

ASSETS

	<u>1984</u>	<u>1983</u>
Current assets		
Cash	\$ 13,739	\$ 79,701
Marketable securities (note 1)	389,990	1,047,854
Accounts receivable	15,709	-
Interest receivable	106,607	38,799
Deferred tax benefit (note 1)	14,400	-
Notes receivable - current portion (notes 3 and 8)	705,469	705,469
Prepaid expenses and other assets	<u>34,874</u>	<u>33,249</u>
Total current assets	<u>1,280,788</u>	<u>1,905,072</u>
Fixed assets (note 1)		
Furniture and fixtures	24,424	24,424
Machinery and equipment	34,133	26,502
Transportation equipment	<u>20,894</u>	<u>20,894</u>
	79,451	71,820
Less accumulated depreciation	<u>(29,974)</u>	<u>(19,124)</u>
	<u>49,477</u>	<u>52,696</u>
Other assets		
Notes receivable - net of current portion (note 3)	48,965	48,965
Investments (note 2)	1,350,047	411,750
Other assets	<u>1,000</u>	<u>2,100</u>
	<u>1,400,012</u>	<u>462,815</u>
	<u>\$ 2,730,277</u>	<u>\$ 2,420,583</u>

The accompanying notes are an integral
part of these financial statements.

ANNANDALE CORPORATION

NOTES TO FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Company history - Annandale Corporation (formerly Micropin Corporation) (the "Company") was engaged in the development of an electronic game (the "Micropin game") from its inception in April 1974, through actual production which began during the year ended March 31, 1980. Production continued until the Company decided to terminate manufacture of the Micropin game on April 10, 1981 (see note 4). The Company continued to operate the Micropin games on a limited basis in various locations throughout Southern California on a revenue-split basis. Additionally, during the year ended March 31, 1982, the Company purchased and began operating various electronic video games on a revenue-split basis. During the year ended March 31, 1983, the Company discontinued all game operations and all assets relating to these activities were sold or written off.

During the year ended March 31, 1982, the Company acquired all of the outstanding stock of Mobile Engineering, Inc., dba Elcon Industries, Inc., a manufacturer of electronic video games. As more fully described in note 9, the Company rescinded the acquisition in August 1982.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting activities (see notes 2, 3 and 5). In March 1983, the shareholders voted to change the name of the Company to Annandale Corporation and change the Company's operations to financial and business consulting.

Fixed assets - Furniture and fixtures, machinery, equipment and transportation equipment, are recorded at cost. Depreciation is provided primarily on the straight-line method over the estimated useful lives of the related assets.

Major renewals and betterments are capitalized. Maintenance and repairs are expensed as incurred. When fixed assets are retired or otherwise disposed of, the related cost and accumulated depreciation are removed from the accounts. Gains and losses from retirement or disposal of fixed assets are credited or charged to income.

Marketable securities - Marketable securities consist of certificates of deposit and U. S. Government securities. At March 31, 1984, marketable securities were recorded at cost which approximated market. Marketable securities were written down to market value by a charge to operations of \$17,482 at March 31, 1983.

Income taxes - Deferred taxes result from timing differences between financial reporting and tax reporting of deductions for various reserves. Investment tax credits are accounted for using the flow-through method.

Income (loss) per share - Income (loss) per share of common stock is based upon the weighted average number of shares outstanding during each period (see note 6).

ANNANDALE CORPORATION

NOTES TO FINANCIAL STATEMENTS

2. INVESTMENTS

Investments consist of common stock received or to be received primarily as compensation for consulting services and securities purchased for investment. The shares received for consulting services were valued at their estimated fair market value at the date earned and the purchased securities were recorded at cost. The recorded value of investments do not exceed estimated net realizable value. At March 31, 1984 and 1983, investments consisted of:

	<u>1984</u>	<u>1983</u>
Marketable securities	\$ 1,242,486	\$ 400,000
Non-marketable securities	<u>107,561</u>	<u>11,750</u>
	<u>\$ 1,350,047</u>	<u>\$ 411,750</u>

3. NOTES RECEIVABLE

Notes receivable consist of the following:

	<u>March 31, 1984</u>	<u>March 31, 1983</u>
Subordinated note receivable from Alphacom, Inc., due November 15, 1983 with interest at 15% payable quarterly commencing May 11, 1982 (see note 8).	\$ 538,973	\$ 538,973
Subordinated convertible note receivable from Financial News Broadcasting Company, parent company of Financial News Network, Inc., with principal and interest at 15%. The note, previously due on June 30, 1983, is due on demand. Any unpaid principal and interest may be converted to common stock at the rate of \$10 per share. The stock is not registered under the Securities Act of 1933.	166,496	166,496
Subordinated convertible note receivable from Innovative Entertainment, Inc., due October 1, 1987, with interest at 12% payable monthly. Any unpaid principal and interest may be converted to common stock at any time prior to repayment. The stock is not registered under the Securities Act of 1933.	<u>98,965</u>	<u>98,965</u>
	804,434	804,434
Less current portion	<u>(705,469)</u>	<u>(705,469)</u>
	98,965	98,965
Less allowance for doubtful notes receivable	<u>(50,000)</u>	<u>(50,000)</u>
	<u>\$ 48,965</u>	<u>\$ 48,965</u>

ANNANDALE CORPORATION

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